India's view of private cryptocurrencies

RBI has been advising investors against private cryptocurrencies for a long time now. In his insightful February 2022 speech, T. Rabi Shankar, Deputy Governor, RBI, explained that cryptocurrency is not actually currency, and cannot be treated as a financial asset or commodity either; cannot even call it a digital asset; just a piece of code that you are ready to buy hoping that someone else will buy it at a larger price. According to him, it serves no purpose, and simply boils down to speculation.

The government treats cryptocurrency as an asset, only CBDC is a legal tender and will be fungible with physical currency. "In the current budget, the government has clearly differentiated the digital rupee from cryptocurrency, which has been classified as a digital virtual asset, and gains from this asset class are taxed accordingly. With this, volatility and financial instability that cryptocurrency may have brought into the financial system as a payment mode has been mitigated," says Mihir Gandhi of PwC.

However, the fate of private cryptocurrencies in India remains unknown, because Finance Minister has made it clear that levying of a tax does not mean the government has endorsed or regularised cryptos. The government is still in discussion with various parties about the impact of such private currencies, and will take a decision accordingly.

metals. This will act as a reserve to redeem holders if the cryptocurrency collapses. Price fluctuations are also limited to a narrow range. Examples of stablecoins include Tether's USDT and MakerDAO's DAI.

Central bank digital currencies (CBDCs) are regulated and centralised digital currencies, issued and managed by the central bank of a country. While the fiat currency is a paper contract, the CBDC is a digital legal tender. It supplements and coexists with traditional fiat currency, and is usually fungible with it.

Virtual currencies, real problems

According to CoinMarketCap, as of February 2022, there were 17,436 cryptocurrencies and 458 crypto exchanges. The market capitalisation of all cryptocurrencies stood at \$1.98 trillion. Yet, regulators keep advising investors to beware of the risk in investing in cryptocurrencies, because they are extremely volatile in nature, and could lead to financial instability. Let us understand the risks that are inherent in cryptocurrencies.

Cryptocurrency is just a piece of code, a decentralised digital asset, which is managed through a blockchain to ensure transparency and trust. It derives its value or purchasing power from its community of users—and can be used in the network (or virtual world) that it belongs to, to pay for services or digital assets like non-fungible tokens (NFTs).

Cryptocurrency is not backed by any central agency, and does not involve any intermediaries like banks or other financial institutions. It is basically driven entirely by free market forces, and is immune to government interference. For this reason, many call it 'freedom money,' describing it as a disruptive technology and a potential social movement.

The value of cryptocurrency is extremely volatile, and tends to change by the day, even by the hour. "Cryptocurrencies are all differently envisioned based upon their designed purpose and utility. Fluctuations in their prices are a function of demand and supply (real and manipulated) and the change in future value as buyers and sellers perceive it," says Lalwani. Data from CoinMarketCap shows that the Bitcoin was valued at around \$5000 in March 2020, rose to \$65,000 by April 2021, and dropped to less than half that value by June 2021. This fluctuation was attributed to the novel coronavirus pandemic.

Similarly, Bitcoin valuations saw a steep fall after Russia's attack on Ukraine. However, the prices bounded back soon thereafter, as investors' risk appetite returned! In a speech delivered in February 2022, T. Rabi Shankar, Deputy Governor, RBI, explained that concentrated ownership in the hands of a few "crypto whales" makes the system prone to manipulation.

For something to be used as regular currency, its value should be reasonably stable. The highly volatile nature of cryptocurrencies means that you might not be able to use them to pay for your food, clothes, shelter, or other essentials! It is for this reason that Subash Chandra Garg, former Finance Secretary of India, commented in an interview last year that he preferred to call them just cryptos and not cryptocurrencies as they functioned only marginally as currencies, and will probably have to be recognised as another unique product or asset class in itself.

Another huge problem with cryptocurrencies is the complete privacy that it offers. In these decentralised blockchain based systems, the transactions are authorised by the participants and validated by the network without any intermediaries. A transaction remains anonymous in terms of people and purpose. A lot of misguided investors use this anonymity to evade government control and taxes. The ease of doing under-the-radar transactions also makes the crypto ecosystem an attractive playground for terrorists and money launderers.

Further, when investors put more and more money into cryptocurrencies, it could weaken a developing nation's currency, since most of today's cryptocurrencies are valued only in dollars and euros. Also, if people start doing cross-border transactions through private cryptocurrencies, a nation's foreign exchange reserve